

Understanding business cycle investing and its relevance for Indian investors

Business cycle investing refers to the investment approach by which sector exposure is aligned with the stage of the economic cycle. Sectors do not all move uniformly, and detecting the stage of the economy helps investors position in those areas likely to display superior performance while limiting exposure to those where pressure would be faced.



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Indicators used to identify the cycle

The phase of the business cycle is determined by a combination of macro-economic, sentiment-based, and global indicators. Key macro indicators include inflation, interest rates, fiscal deficit, current account deficit, industrial production, credit growth, and capex activity.

Business and consumer sentiment indicators - like the purchasing managers' index and discretionary product sales - detail real-time demand conditions. Global signals - such as growth in developed markets, policy stance in major economies, and economic outlooks - provide an external backdrop. Put together, these different inputs provide a clear insight into the economic environment.

Tracking global market conditions optimally

The last secular bull market was underpinned by a supportive mix: disinflation, low rates, plentiful liquidity, and geopolitics that were relatively stable. Lower volatility combined with equity gains that were broadly based. The coming decade may be very different, however. Inflation has become more embedded, monetary conditions have firmed up in major economies, and geopolitical tensions have risen. All three changes signal quicker market cycles, making agility more important, especially for investors who wish to avail market-beating returns.

India's strong domestic position

For Indian investors, there is good news. While global uncertainty is elevated, India remains on a firm growth path. Recent GDP data indicates healthy expansion driven by private consumption, investment, and government expenditure.

A sustained increase in government-led capex strengthens infrastructure and supports industrial activity. Reforms like GST, IBC, PLI schemes, UPI, and direct benefit transfers continue to improve efficiency and support long-term growth. Consumer confidence has also increased, boosted by improved trends on the employment front and stronger rural sentiment.

Theme-based interpretation of business cycles

Business cycle investing can be understood under four broad themes:

- Strong global plus strong domestic growth favours both global and domestic cyclicals
- Weak global plus strong domestic growth wherein we see a skew towards domestic cyclicals, with domestic

momentum staying strong despite global weakness

- Weak global and weak domestic growth wherein defensive sectors like FMCG, utilities, and pharmaceuticals do well

- Strong global and weak domestic growth where we see more focus on global cyclicals and export-oriented sectors like IT, pharmaceuticals, and auto ancillaries

This structured view helps investors to understand the shift in sector preferences.

Why mutual funds are well-placed for this approach

Undertaking business cycle investing on your own is not easy, as one has to continually evaluate the macro trends, global developments, sector-level data, and valuation shifts. Mutual funds simplify this process. They maintain a disciplined, top-down approach, continually reassess macro conditions and adjust sector and market-cap positioning as necessary. Their ability to act swiftly, stay nimble, and navigate through volatility makes them suitable vehicles for investors who wish to benefit from the cyclical opportunities without managing the complexity themselves.

A forward-looking investment style

As India remains on its structural growth path, phases of volatility are inevitable. A business cycle-driven approach helps investors to look through the short-term noise and focus on those sectors that are aligned to the direction of the economy. For long-term investors, especially those taking the professionally managed mutual funds route, this approach is a well-researched, adaptive and holistic way to participate in India's evolving economic landscape.